

Please write clearly in block capitals.

**Centre
number**

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**Candidate
number**

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Surname

Forename(s)

Candidate signature

A-level ECONOMICS

Paper 1 Markets and market failure

Predicted Paper Set A — Moderate

Time allowed: 2 hours

Materials

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set A — Moderate]

Section A

Answer ALL questions in this section.

Total for this section: 40 marks

Data Response: The UK Soft Drinks Industry Levy

Study Extracts A, B and C and then answer all parts of Section A which follow.

Extract A: The UK Sugar Tax Debate

The UK government announced in 2024 that it would extend the Soft Drinks Industry Levy (SDIL) to milkshakes and other previously exempt high-sugar drinks. Public Health England estimates that excess sugar consumption costs the NHS approximately £6 billion per year. Reformulated drinks that reduced sugar content below the levy thresholds accounted for over 50% of soft drink sales by volume in 2023. Industry groups argue the tax is regressive and disproportionately affects lower-income households, while public-health campaigners describe the levy as one of the most successful examples of behavioural government intervention.

Source: News reports, April 2024

Extract B: Sugar Consumption and SDIL Revenue, 2018–2024

Year	Sugary drink consumption (litres per capita)	Adult obesity rate (%)	SDIL revenue (£m)
2018	78.4	28.7	240
2020	65.1	29.0	336
2022	58.3	28.5	380
2024	52.7	27.8	415

Source: Office for National Statistics / HMRC, 2024

Extract C: Distributional Impact

A 2024 IFS study found that households in the lowest income decile spent 0.7% of disposable income on SDIL-affected products, compared with 0.2% for the highest decile. Critics therefore describe the levy as regressive in incidence, although supporters argue the long-run health gains accrue disproportionately to lower-income groups, who suffer the highest rates of diet-related disease.

Source: Institute for Fiscal Studies, 2024

- 0 1** Using Extract B, calculate the percentage increase or decrease in sugary drink consumption between 2018 and 2024. Show your working and state clearly whether the change is an increase or a decrease.
- [2 marks]**
- 0 2** With the help of a fully labelled supply and demand diagram, explain how the introduction of the sugar tax affects the market for high-sugar soft drinks. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.
- [4 marks]**
- 0 3** With the help of a diagram and using the extracts, analyse why the sugar tax may be considered an example of government intervention to correct market failure.
- [9 marks]**
- 0 4** Using the extracts and your own knowledge, evaluate the view that indirect taxes are the most effective way to reduce consumption of demerit goods.
- [25 marks]**

Section B

Answer BOTH questions in this section.

Each essay carries a total of 40 marks.

Total for this section: 40 marks

The UK government spends billions of pounds each year on the provision of goods such as national defence, street lighting and flood defences. It also intervenes in markets where production or consumption generates significant external costs, such as pollution. Some economists argue, however, that free markets can often allocate resources more efficiently than government intervention, and that state involvement risks creating government failure.

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Explain how the existence of negative externalities and public goods can lead to market failure.

[15 marks]

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“Free markets always lead to an efficient allocation of resources.” Evaluate this statement with reference to real-world examples.

[25 marks]

END OF QUESTIONS